The Economy

CHAPTER 4: Economic Principles
Part 1



Economics in General

The performance of the securities markets is strongly tied to the overall performance of the economy.

- A growing and stable economy over time has a positive impact on the equity markets.
- Bond market activity is strongly tied to the level and uncertainty of inflation and interest rates.
- The economy has an impact on how many people work, how much they spend, how much product companies sell, and how high inflation and interest rates will be.
- These are the factors that determine investment returns.

Overview

Microeconomics versus macroeconomics

Microeconomics:

- The market behaviour of individual consumers and firms.
- How the price levels creates or leads to market equilibrium.
- The impact of minimum wage laws on the supply of labour and company profit margins.
- Taxes on imports and the impact on industry profitability.

Overview

Microeconomics versus macroeconomics

Macroeconomics:

- The performance of the overall economy – the ‘big picture’.
- Measuring output through GDP and GNP.
- How changes in unemployment or inflation impact economic performance.
- How a nation’s standard of living has changed over the last business cycle.

Demand & Supply - Discussion

What role do price and quantity play for the:

- *Law of Demand*
- *Law of Supply*

Explain each using a real world example.

Demand & Supply

Law of Demand

- as the price of a product **rises**, quantity demand falls
- as the price of a product **falls**, quantity demand rises

Law of Supply

- as the price of a product **rises**, quantity supplied rises
- as the price of a product **falls**, quantity supplied falls

What is the main trigger for market equilibrium to occur?

Measuring Economic Growth

Measuring the Economy

- **Gross Domestic Product (GDP):**
  Value of all goods and services produced *within Canada's borders*

What was Canada's GDP for the most current year?

Measuring Economic Growth

Components of the expenditure approach:

- Consumption
- Investment
- Government Spending
- Net Exports

GDP = C + I + G + (X – M)

Measuring Economic Growth

How does an economy grow?

Causes of GDP Growth:

- Population growth
- Rising productivity
- Technological innovation

Real GDP versus Nominal GDP

- What does nominal GDP represent?
- How does Nominal GDP differ from Real GDP?
- Is an increase in Nominal GDP always good for the economy?

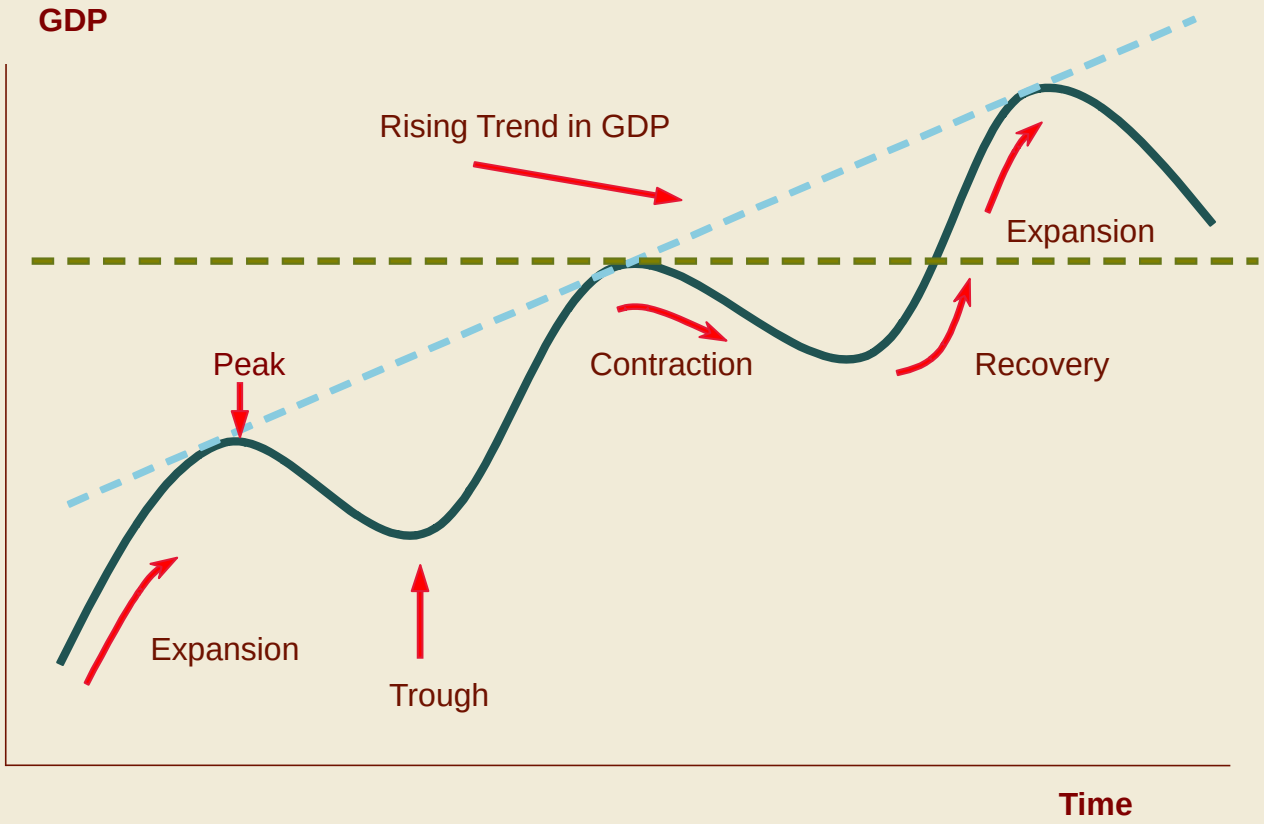
Real GDP versus Nominal GDP

- **Nominal GDP** is based on current prices, or the prices that prevailed in the same year
  - reflects the change in the size of GDP and the impact of price changes

- **Real GDP** corrects for the effects of inflation
  - a better measure of the overall performance
  - a purer measure of changes in the amount of output produced during the year
  - isolates the change in output attributed to price changes (or inflation)

Economic Principles Part 2

A Typical Business Cycle



The Business Cycle

Describe the key features of each phase of the cycle:

STOCKS INT.RATES BOND PRICE

- Expansion
- Peak
- Contraction
- Trough
- Recovery

The Business Cycle

Expansion

- Stable inflation, and the economy steadily expands
- Adequate inventory levels to meet consumer demand
- Rising corporate profits and stronger stock market activity
- Steady or falling unemployment rate

Peak

- Demand begins to outstrip capacity and inflation increases
- Rising wages and interest rates
- Business sales decline, and inventory levels rise
- Stock prices fall and general market activity declines

The Business Cycle

Contraction

- Level of economic activity declines
- Businesses postpone capital investments and profits fall
- Consumers spend less and increase saving

Trough

- Bond market rallies as rates begin to fall
- Consumers start spending again

Recovery

- GDP returns to its previous peak, & business investment rises
- Unemployment may remain high, but inflation is set to fall further

Economic Indicators

Leading Indicator: Peak and trough before the overall economy – anticipate emerging trends
Example: housing starts

Coincident Indicator: Change at same time and in same direction as the economy – info on the current position of the economy
Example: GDP, retail sales

Lagging Indicator: Change after the economy changes – used to confirm a business cycle pattern
Example: Unemployment rate

Labour Markets

Economic performance directly affects the labour market.

Indicators:

- **Labour Force:** sum of the working age population who are employed or unemployed.
- **Participation rate**: the % of the working age population in the labour force.
- **Unemployment rate**: the % of the labour force unemployed but looking.

Types of Unemployment

Cyclical

- fluctuates with the business cycle

Frictional

- result of normal labour turnover
- have the proper skills to find a new job

Structural

- when individuals can’t find jobs due to outdated skills

Interest Rates

Interest is:

- For business owners it is a component in the cost of capital for production
- For consumers it is the “price” of credit for consumption

Interest Rates

Interest rates vary by:

- Duration/term of loan
- Conditions of the loan
- Creditworthiness

How do higher rates impact the economy?

Interest Rates

How do higher rates impact the economy?

- Increases the cost of capital for businesses and leads to lower business investment.
- Discourages consumer spending on durable goods and other commodities.
- May lead to a general economic slowdown.

Determinants of Interest Rates

- Demand and Supply of Capital
- Default Risk
- Central Bank Activities/Credibility
- Foreign Developments – Interest Rates/Exchange Rate
- Inflation

Inflation

A generalized, sustained trend of rising prices.

- usually an indication of growth in the money supply
- economic expansion
- increase in demand without corresponding change in supply

Can lead to:
- investors demand a rate of return that protects them from the erosion of their purchasing power
- pressure on wages and other variables

…Why are rising prices considered ‘bad’ for the economy?

Inflation & the Consumer Price Index

Using the CPI to measure inflation:

- Tracks the retail price of a basket of goods to reflect typical consumer spending
- Measures the ‘average’ price level for a consumption bundle
- Compares the CPI in the current period relative to a base year to arrive at the inflation rate for the year
- If CPI is currently 130 and the base year was 120, what does this imply?

Inflation

Costs of Inflation

- Erodes standard of living for those on a fixed income
- Erodes purchasing power or forces investors to demand higher returns
- Higher interest rates slows growth
- Increases the cost of debt servicing to individuals, corporations and governments

Disinflation vs. Deflation

Disinflation	**Deflation**
▪ A decline in the rate at which prices rise – is a decrease in the *rate* of inflation.	▪ A sustained fall in prices - the annual change in the CPI is negative year after year.
▪ Prices are still rising, but at a slower rate.	▪ Deflation is just the opposite of inflation.
▪ Captured through the Phillips Curve and the sacrifice ratio.	▪ Problem: sustained falling prices could lead to a decline in corporate profits.

Inflation

The Output Gap

- The difference between real GDP and potential GDP
- Potential GDP = what the economy is capable of producing when its existing inputs of labour, capital, and technology are fully employed at their normal levels of use.
  - (the BoC does estimate potential output levels)

Negative Output Gap:

- When actual output is below potential output - spare or excess capacity.
- Increased demand does not result in inflation.

Inflation

Positive Output Gap:

- Economy is operating above its potential:
  - actual output (GDP) > potential output
- Strong consumer demand for goods and services.
- When companies continue to operate above capacity, they can raise prices in response to this demand.
  - leads to **demand-pull inflation**.
- A scarcity of resources can lead to **cost-push inflation**.

The Exchange Rate

Why it's important:

- The external value of a nation's currency impacts the volume of trade.
- As the C$ rises in value against a trading partner the volume of exports falls and the volume of imports rises.
- As the C$ falls in value against a trading partner, the volume of exports rises and the volume of imports falls.

  - Can we explain these relationships using the current behaviour of the C$ vs. the US$?

The Exchange Rate

Determinants of the Exchange Rate:

- Inflation differentials
- Interest rate differentials
- Current account
- Economic performance
- Public debt and deficits
- Political stability